

# Town of Lunenburg

## Annual Budget, Preliminary Presentation

July 1, 2020-June 30, 2021



## Fiscal Year 2021

February 13, 2020

**Heather R. Lemieux**  
Town Manager

# **TOWN OF LUNENBURG**

## **TOWN MANAGER**

Tom Alonzo, Chairman  
Phyllis Luck, Vice Chairman  
Damon McQuaid, Clerk  
Katey Adams, Member  
Michael-Ray Jeffreys, Member



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**Heather R. Lemieux, Town Manager**

**To:** Board of Selectmen  
Finance Committee

**From:** Heather R. Lemieux, Town Manager

**Re:** FY 2021 Budget Message and Preliminary Budget Proposal

**Date:** February 11, 2020

It is once again my privilege to present the Fiscal Year 2021 Budget Message for the Preliminary Budget, which is an overview of the operating and capital budget, identifies major variations from the current operating budget, and explains the Town Manager's rationale for budget recommendations. The budget recommendation includes the most up to date revenue projections and expenditure requests. The Preliminary Budget, as presented, provides for funding operating budgets at a reasonable level and continues to focus on addressing the needs of the Town while balancing the cost to taxpayers and maintaining fiscal sustainability.

The proposed budget is balanced in two respects: it provides a balanced approach to the needs of all the departments of the Town and is also balanced based upon the use of reoccurring revenues for operating costs and does not use free cash or stabilization towards the operating budget. Fiscal sustainability is a theme throughout by using conservative revenue estimates that are not one time revenues to support current expenditures and adheres to the town's financial policies to maintain a certain level in the town's reserve accounts. The preliminary budget uses consistent revenue percentage increases over the current fiscal year, with the exception of projected New Growth. When the target budget was created, New Growth was projected at \$350,000, based on the recent trend of declining New Growth. Just this past week, this figure was even further reduced to \$234,000 based on new information provided by the town's assessing service firm.

In the process of developing the preliminary budget, departments were given target budgets to meet that included known personnel costs for existing staff, known contractual increases, level funded expense line items and included conservative estimates for the "unknowns", such as health

insurance, general insurance, the retirement assessment, and other regional assessments. An exception to this was the adherence to the Five Year Staffing Plan for the Fire Department that adds one additional Full Time Career Firefighter each year and the Ten Year Staffing Plan for the Police Department that adds one additional Full Time Patrol Officer each year. These plans were created to address the staffing needs of these public safety departments that over the years has not kept up with the growth of the Town and translated to additional service calls for our public safety departments. In Fiscal Year 2020 the Town was able to fund one additional Patrol Officer but due to a significant rise in overtime costs, the budget was not able to fund an additional Career Firefighter. The FY21 preliminary budget proposes an additional Patrol Officer and an additional Career Firefighter to continue to follow these staffing plans.

The Lunenburg Schools were provided a target budget of a 2.5% increase, which currently does not meet the Superintendent's proposed budget to the School Committee, which is a 4% increase from the current year. The Town Manager and Superintendent will continue to work together to address the needs of the School given our available resources. At this point in time, the budget reflects estimates for the health insurance renewal costs, the regular insurance costs, and the town's assessment for Montachusett Regional Vocational School, but as these unknowns become known, it is anticipated that changes will be made to the budget.

Other variations from the current operating budget include:

- Addressing an identified need by the Board of Health and the Town Clerk to increase hours for staff in those offices. This will provide more coverage in those offices during current office hours and more appropriately aligns the hours needed for those positions.
- Inclusion of a new position that would be entirely funded with grant funds for an Education and Enforcement Coordinator that would enforce private hauler recycling requirements. This continues the Town's goal to improve recycling within the Town.
- Elimination of the Assistant Town Mechanic position. This position was added to the budget in FY19 but not filled due to the abilities of the Town Mechanic. Due to other growing needs in that department, these funds are being proposed to be reallocated to address ADA compliance and additional funding for Town Facilities.

***Reserves and FY 2021 Capital Plan:***

The budget proposes to use free cash, non-reoccurring revenue, to fund a portion of the FY21 Capital Plan and deposits funds into the Town's regular Stabilization account and the OPEB (Other Post-Employment Benefits) Trust Fund. By setting aside these funds in the town's stabilization account and OPEB Trust Fund, it will ensure the town is financially secure and is planning for their known future capital needs and future retiree health benefits.

Besides free cash, the FY21 Capital Plan, given the figures known at this time, will be funded with tax revenue. The FY21 Capital Plan amounts to \$1,329,133 for twenty one projects. For more details on the proposed FY21 Capital Plan, it can be viewed at:

[https://www.lunenburgma.gov/sites/default/files/field/files-docs/fy2021\\_capital\\_plan\\_presentation\\_0.pdf](https://www.lunenburgma.gov/sites/default/files/field/files-docs/fy2021_capital_plan_presentation_0.pdf).

This budget is a preliminary recommendation for FY2021. There are still a number of unknowns at this date. The Governor has released his budget proposal but state aid will not be finalized until

July. Other revenues such as “Local Receipts” and “New Growth” are conservative estimates used for town meeting. On the expenditure side, the Town is awaiting health and general insurance renewal rates and the assessment from Montachusett Regional Vocational Technical School. As these figures become known, the financial projections will change and adjustments will be made that will ultimately be recommended to voters at the Annual Town Meeting on May 2, 2020.

Information on the FY 2021 preliminary budget will be available on February 12<sup>th</sup> on the town website at [www.lunenburgma.gov](http://www.lunenburgma.gov) under the “Town Meetings and Town Finances” link on the homepage, the Board of Selectmen’s Office, or the Town Clerk’s Office.

Respectfully,  
Heather R. Lemieux  
Town Manager

## **Budget Process:**

The budget process for Fiscal Year 2021 began not long after the start of Fiscal Year 2020. The Finance Committee began discussing the budget process in July and the Capital Planning Committee began their process in September. The Capital Planning Committee continued utilizing a new data accumulation process using Google Sheets and this year added additional criteria in which to evaluate projects including categories such as effectiveness of government, effects on operating costs, effects on revenues, and how the project contributes to such things as economic growth, public safety, public health, and education. Based on responses to these categories, a project received a composite score. The CPC used this information as a starting point for prioritizing projects and provided a prioritized list to the Town Manager on January 7<sup>th</sup>.

During the week of January 20<sup>th</sup>, the Town Manager presented a Five Year Financial Forecast and a Capital Plan to the Finance Committee and Board of Selectmen. The capital plan presented made no changes from the recommendation the Town Manager received from the Capital Planning Committee. The Five Year Financial Forecast projects revenues and expenditures based on historical trends, a variety of assumptions, and known future expenditures such as contractual increases and large capital projects. These projections are a tool in order to assist town officials to prepare the ensuing years budgets to maintain fiscal sustainability and how expenditures will be addressed if a deficit is imminent. Here is a link to the Five Year Financial Forecast presentation for FY21-FY25: [https://www.lunenburgma.gov/sites/default/files/field/files-docs/fy21-fy25\\_financial\\_forecast\\_presentation\\_0.pdf](https://www.lunenburgma.gov/sites/default/files/field/files-docs/fy21-fy25_financial_forecast_presentation_0.pdf) .

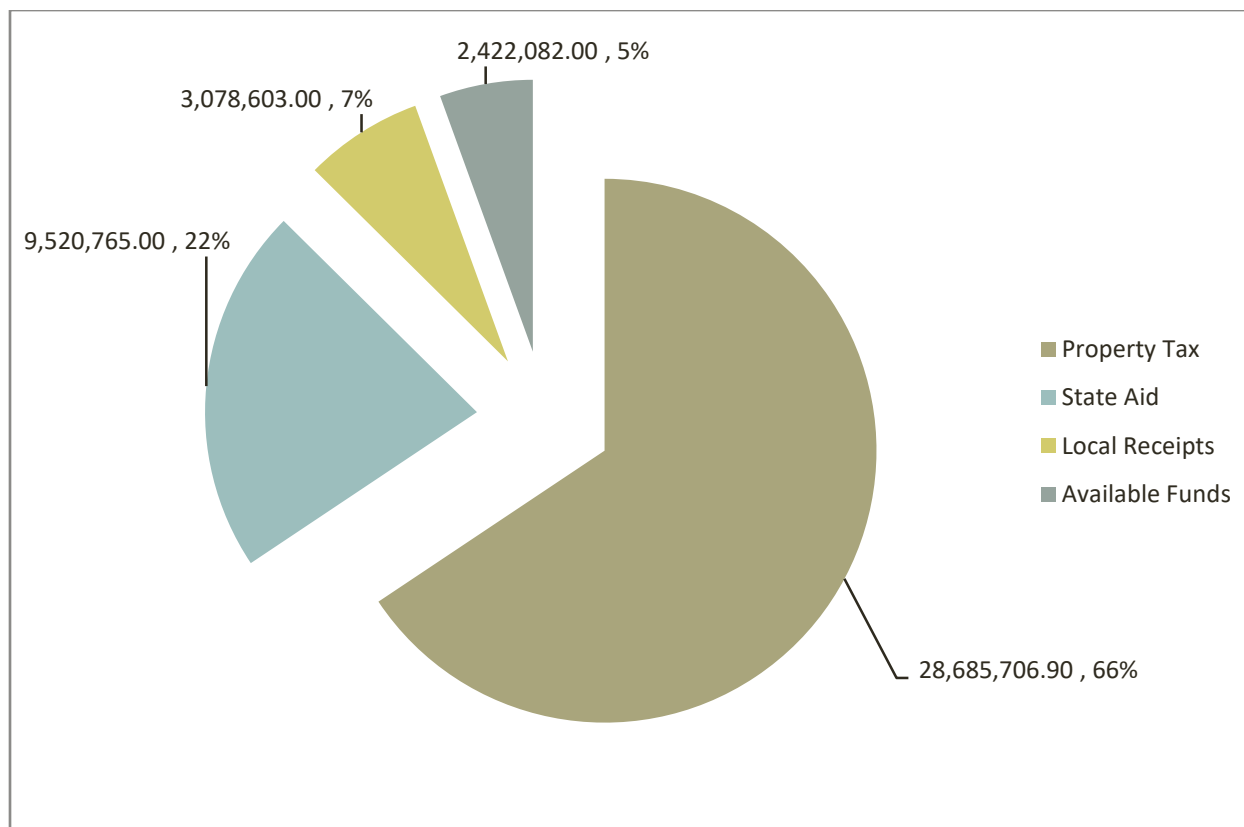
In mid-February the Town Manager prepares a preliminary budget recommendation that is presented to the Finance Committee. The framework for the budget begins with looking at the levy capacity, estimated revenues, contractual increases, and using reasonable estimates for expenditures. This year departments were asked to meet a target budget that included contractual increases and level funded most expense categories. Certain departments had target budgets that included added personnel and certain expenditure increases including the costs to add an additional full time police officer and the costs to add an additional full time firefighter. On the expenditure side, the target budget included an additional \$50,000 for pavement management per an established past practice in order to achieve a total of \$1,000,000 in the operating budget for pavement management by 2032. For any requests above the target budget, departments were directed to provide a justification such as the effect on town services, if the increase would generate revenues, or address a need for increased service levels. After meeting with each department and updating the budget with any new information, such as the Worcester County Retirement assessment, and an updated maximum increase for health insurance, the FY2021 preliminary proposal was drafted.

## **FY 2021 Revenue Overview:**

The Town has four (4) sources of Revenue: Property Tax, State Aid, Local Receipts, and Available Funds. For FY 2021 the projected revenues are:

- Property Tax: \$ 28,685,707
- State Aid: \$ 9,520,765
- Local Receipts: \$ 3,078,603
- Other Avail. Funds: \$ 2,422,082
- Total: \$ 43,707,157

The chart below breaks out the revenue sources by percentage:



## **Property Taxes**

Property taxes are the largest, single revenue source for the Town, approximately 66%. Property taxes are levied on real property (land and buildings) and personal property (equipment) used by non-manufacturing businesses. The Board of Assessors revalues all taxable real property at fair market value on a periodic basis. Prior to November 2017 this was done every three years but state law now allows this to be performed every five years. Under the provisions of Proposition 2 1/2, property taxes, in the aggregate, may not exceed 2 ½ percent of their full and fair cash value. This limit is known as the levy ceiling. Annual levy increases shall not exceed 2 ½% more than

the previous year's levy plus the taxes added from any new properties added to the tax rolls ("New Growth"). Any Proposition 2 ½ override and/or debt exclusion amounts voted are added to the levy limit.

|                                                                               | FY2018               | FY2019               | FY2020              | FY21 TM             |                  |
|-------------------------------------------------------------------------------|----------------------|----------------------|---------------------|---------------------|------------------|
|                                                                               | After Recap          | After Recap          | After Recap         | Prelim. Budget      | Dollar Increase  |
| Revenue                                                                       |                      |                      |                     |                     | Over PY          |
| Property Tax*                                                                 | \$ 25,848,475        | \$ 26,994,911        | \$28,054,410        | \$28,685,707        | \$631,297        |
| State Aid                                                                     | \$ 8,972,793         | \$ 9,074,334         | \$ 9,250,358        | \$ 9,520,765        | \$ 270,407       |
| Local Receipts                                                                | \$ 2,867,168         | \$ 2,940,817         | \$ 3,010,153        | \$ 3,078,603        | \$ 68,450        |
| Available Funds**                                                             | \$ 2,240,771         | \$ 2,669,543         | \$ 3,035,225        | \$ 2,422,082        | \$ (613,143)     |
| <b>total:</b>                                                                 | <b>\$ 39,929,207</b> | <b>\$ 41,679,605</b> | <b>\$43,350,146</b> | <b>\$43,707,156</b> | <b>\$357,011</b> |
| *Property Tax includes starting tax levy, 2 1/2%, New Growth, Excludable Debt |                      |                      |                     |                     |                  |
| ** Available funds will fluctuate mainly due to use of free cash.             |                      |                      |                     |                     |                  |

For FY2021, the Town's Property Tax revenues are projected to increase by \$631,297 and includes the maximum allowable levy including a 2 1/2 % increase over the previous fiscal year's ending levy. This is down from the previous fiscal year increase of \$1,059,499 in property tax revenues. The target budget that was the baseline when developing the FY21 budget and the figure used in the financial forecast for FY21 included an estimate of \$350,000 for New Growth. At that point this was a decrease of \$25,000 from the estimate used for the FY20 budget. Recently our regional assessing firm, RRG, provided their estimate of what they project will be captured for new growth based on current and known building permits that would affect the FY21 budget, and their estimate came in substantially lower at \$214,000. As we near the end of the current fiscal year, the Board of Assessors will be able to provide a more refined estimate using information on open residential and commercial building permits and new personal property accounts. The decrease in the debt exclusion figure is based on the current debt schedule that has a reduction in the principal and interest payments for existing debt-excludable projects for FY 2021.

|                       | FY2018               | FY2019               | FY2020              | FY21 TM             | Dollar Increase  |
|-----------------------|----------------------|----------------------|---------------------|---------------------|------------------|
|                       | After Recap          | After Recap          | After Recap         | Prelim. Budget      | Over PY          |
| <b>Property Tax</b>   |                      |                      |                     |                     |                  |
| Prior Year Levy Limit | \$ 22,054,802        | \$ 23,087,668        | \$24,137,396        | \$25,107,061.90     | \$969,666        |
| 2 1/2% Increase       | \$ 551,370           | \$ 577,192           | \$603,435           | \$627,677           | \$24,242         |
| New Growth            | \$ 481,496           | \$ 472,536           | \$366,231           | \$234,000           | -\$132,231       |
| Debt Exclusions       | \$ 2,760,807         | \$ 2,857,515         | \$ 2,947,347.96     | \$2,716,968         | -\$230,380       |
| <b>Taxes: Total</b>   | <b>\$ 25,848,475</b> | <b>\$ 26,994,911</b> | <b>\$28,054,410</b> | <b>\$28,685,707</b> | <b>\$631,297</b> |

## State Aid

State Aid is the Town's second largest revenue source (22%) and is the amount of funding each community receives from the Commonwealth to help fund Education and General Government Services. Based on the Governor's House 1 Proposed Budget for FY2021, Lunenburg's State Aid would total \$9,520,765, with is an overall increase of \$211,836 or 2.28% increase. The FY2021 State Aid estimate is based on the Governor's House 1 Proposed Budget.

The Governor's Budget Proposal is the first step in the process until a final state budget is approved. The House Ways & Means will propose their version of the budget near the end of

April, the Senate Ways & Means will submit a proposed budget near the end of May, it will then head to Conference Committee and a final budget will be voted upon in July. Below is a chart with a history of the approved State Aid amounts for FY2012-FY2020 and the Governor's Proposal for FY2021:

|                                          | FY2012<br>Budget | FY2013<br>Budget | FY2014<br>Budget | FY2015<br>Budget | FY2016<br>Budget | FY2017<br>Budget | FY2018<br>Budget | FY2019<br>Budget | FY2020<br>Budget | FY2021<br>Projected |
|------------------------------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|---------------------|
| <b>STATE AID CHERRY SHEET</b>            |                  |                  |                  |                  |                  |                  |                  |                  |                  |                     |
| Chapter 70 Education Aid                 | 4,522,545        | 5,219,937        | 5,354,696        | 5,605,872        | 5,834,483        | 6,351,257        | 7,272,505        | 7,538,072        | 7,771,740        | 7,926,925           |
| Charter Tuition Reimbursement            | 75,071           | 143,361          | 130,068          | 50,717           | 133,545          | 33,934           | 78,091           | 17,860           | 36,345           | 40,416              |
| Charter Facility Reimbursement           |                  |                  |                  |                  |                  |                  |                  |                  |                  | -                   |
| Smart Growth                             |                  |                  |                  | 183,618          | 166,960          | 119,257          | 119,257          | 29,195           | 35,372           | 35,372              |
| School Lunch (offset)                    | 9,647            | 8,887            | 8,087            | 7,451            | -                | -                | -                | -                | -                | -                   |
| School Choice Receiving Tuition (offset) | 370,139          | 319,057          | 298,593          | 241,290          | 227,741          | 268,906          | 281,212          | 241,647          | 182,658          | 216,202             |
| Unrestricted General Government Aid      | 829,777          | 894,449          | 915,592          | 940,983          | 974,858          | 1,016,777        | 1,056,431        | 1,093,406        | 1,122,928        | 1,154,370           |
| Veterans Benefits                        | 10,568           | 14,496           | 26,454           | 40,539           | 55,238           | 81,303           | 45,280           | 35,873           | 55,161           | 42,316              |
| Exemptions VBS and Elderly               | 58,621           | 57,665           | 60,628           | 61,689           | 63,425           | 66,101           | 58,172           | 55,517           | 61,979           | 62,042              |
| State Owned land                         | 47,800           | 48,829           | 49,795           | 47,844           | 47,844           | 47,275           | 47,230           | 47,230           | 26,222           | 26,082              |
| Police Career Incentive                  |                  |                  |                  |                  |                  |                  | -                |                  |                  | -                   |
| Public Libraries (offset)                | 12,222           | 12,078           | 11,488           | 14,647           | 14,398           | 14,137           | 14,615           | 15,534           | 16,524           | 17,040              |
| <b>TOTAL Cherry Sheet</b> ③              | <b>5,936,390</b> | <b>6,718,759</b> | <b>6,855,401</b> | <b>7,194,650</b> | <b>7,518,492</b> | <b>7,998,947</b> | <b>8,972,793</b> | <b>9,074,334</b> | <b>9,308,929</b> | <b>9,520,765</b>    |
| <b>Dollar Increase over previous FY</b>  | <b>-45,929</b>   | <b>782,369</b>   | <b>136,642</b>   | <b>339,249</b>   | <b>323,842</b>   | <b>480,455</b>   | <b>973,846</b>   | <b>101,541</b>   | <b>234,595</b>   | <b>211,836</b>      |
| <b>% Increase over previous FY</b>       | <b>-0.77%</b>    | <b>13.18%</b>    | <b>2.03%</b>     | <b>4.95%</b>     | <b>4.50%</b>     | <b>6.39%</b>     | <b>12.17%</b>    | <b>1.13%</b>     | <b>2.59%</b>     | <b>2.28%</b>        |



## Local Receipts

Local Receipts are made up of Motor Vehicle Excise taxes, fees, fines, permits, licenses, and other departmental revenue or charges for services. These are often labeled “elastic revenues” as they may fluctuate with the economy. Local Receipts account for 7% of the town’s revenues. The estimate for Local Receipts for the FY21 budget assumes an overall increase of 2.27% or \$68,450 over the FY2020 Local Receipts estimate. One of the FY2021 budget goals is to maintain a conservative Local Receipts estimate in order to create a healthy Free Cash figure when actual Local Receipts exceed the Local Receipts estimate. Used for non-operating expenditures, Free Cash allows the Town to address their capital needs and put funds into reserves.

|                                     | FY2018              | FY2019              | FY2020              | FY2021              |
|-------------------------------------|---------------------|---------------------|---------------------|---------------------|
|                                     | After Recap         | After Recap         | Estimated           | Estimated           |
| <b>Local Receipts</b>               |                     |                     |                     |                     |
| Motor Vehicle Excise                | \$ 1,789,274        | \$ 1,850,072        | \$ 1,671,640        | \$ 1,713,431        |
| Other Excise                        |                     |                     |                     |                     |
| Penalties & Interest on Taxes       | \$ 337,927          | \$ 156,024          | \$ 156,022          | \$ 159,142          |
| Payments in lieu of Taxes           | \$ 1,650            | \$ 1,647            | \$ 1,648            | \$ 1,681            |
| Charges for Services                | \$ -                | \$ -                | \$ -                |                     |
| Other Charges for Services          | \$ -                | \$ -                | \$ -                |                     |
| Fees                                | \$ 172,569          | \$ 160,110          | \$ 164,267          | \$ 167,552          |
| Rentals                             | \$ -                | \$ -                | \$ -                |                     |
| Departmental Revenue- Schools       | \$ 174,756          | \$ 119,964          | \$ 119,942          | \$ 122,340          |
| Departmental Revenue- Library       | \$ -                | \$ -                | \$ -                |                     |
| Departmental Revenue-Cemeteries     | \$ 5,350            | \$ 3,550            | \$ 5,350            | \$ 5,350            |
| Departmental Revenue- Recreation    | \$ -                | \$ -                | \$ -                |                     |
| Other Departmental Revenue- Ambu    | \$ 270,398          | \$ 276,946          | \$ 276,947          | \$ 282,486          |
| Licenses & Permits                  | \$ 202,350          | \$ 252,315          | \$ 252,317          | \$ 257,363          |
| Special Assessments                 | \$ 15,162           | \$ 14,031           | \$ 14,031           | \$ 14,311           |
| Fines & Forfeits                    | \$ 29,716           | \$ 27,213           | \$ 27,213           | \$ 27,757           |
| Investment Income                   | \$ 61,701           | \$ 112,565          | \$ 62,935           | \$ 64,193           |
| Miscellaneous, Solar Net Metering C | \$ 132,028          | \$ 136,805          | \$ 125,461          | \$ 127,970          |
| Miscellaneous, Local Option Meals   | \$ 96,112           | \$ 100,980          | \$ 100,980          | \$ 102,999          |
| Miscellaneous, Supplemental Tax     | \$ 97,562           | \$ 58,097           | \$ 31,400           | \$ 32,028           |
|                                     | \$ -                | \$ -                | \$ -                | \$ -                |
| <b>total:</b>                       | <b>\$ 3,386,554</b> | <b>\$ 3,270,319</b> | <b>\$ 3,010,153</b> | <b>\$ 3,078,603</b> |
| Dollar Increase Over Prior Year     | \$ 182,949          | \$ (116,235)        | \$ (260,166)        | \$ 68,450           |
| Percentage Increase Over Prior Year | 5.71%               | -3.43%              | -7.96%              | 2.27%               |

## Available Funds (Reserves and Other Financing Sources)

Available funds covers a variety of categories including the use of certified Free Cash, borrowing amounts, a reimbursement from MSBA for an old school project, transfers from the Sewer Enterprise to fund charges within the General Fund, transfers from Sewer and Water Betterment Accounts to the General Fund to pay the cost of Sewer and Water debt service, and Septic Loan revenue. There is a significant decline in available funds in FY21 compared to the previous fiscal year primarily due to the amount of free cash being used to offset non-reoccurring expenses. The below chart identifies the financing sources and use of reserves that are a portion of the revenues available for the FY2021 budget.

|                                     | FY2018                 | FY2019                 | FY2020                 | FY2021                 |
|-------------------------------------|------------------------|------------------------|------------------------|------------------------|
|                                     | After Recap            | After Recap            | After Recap            | Estimate               |
| <b>Available Funds</b>              |                        |                        |                        |                        |
| Overlay Surplus                     |                        |                        |                        |                        |
| Free Cash                           | \$ 720,952.00          | \$ 602,736.00          | \$ 1,297,731.96        | \$ 889,133.00          |
| Bond Premium                        |                        |                        | \$ 6,350.49            |                        |
| Unexpended Articles                 |                        | \$ 54,478.00           | \$ 171,781.68          |                        |
| Borrowing                           |                        | \$ 480,495.00          | \$ -                   |                        |
| Stabilization Fund                  |                        |                        |                        |                        |
| Stabilization Fund, Tax Levy        |                        |                        |                        |                        |
| MSBA Reimbursement (Both debt an    | \$ 534,198.00          | \$ 534,198.00          | \$ 535,316.89          | \$ 535,051.19          |
| MSBA Reserve Reimbursement Applied  |                        |                        |                        |                        |
| Sewer Enterprise Retained Earnings  | \$ 68,423.00           | \$ 70,464.00           | \$ 70,805.00           | \$ 73,933.00           |
| Sewer Betterments                   | \$ 843,549.24          | \$ 812,905.58          | \$ 817,901.40          | \$ 804,329.90          |
| Water Betterments                   | \$ 62,781.00           | \$ 58,468.13           | \$ 56,837.50           | \$ 55,837.50           |
| Septic Loan Revenue                 | \$ 10,868.00           | \$ 10,868.00           | \$ -                   |                        |
| PEG Retained Earnings               |                        |                        |                        | \$ 17,324.00           |
| Prior Year Capital (Unused)         |                        |                        |                        |                        |
| Bond Premium                        |                        |                        |                        |                        |
| Sale of Cemetery Lots               | \$ -                   |                        | \$ 35,000.00           | \$ -                   |
| Artificial Turf Revolving Fund      |                        | \$ 44,930.56           | \$ 43,500.00           | \$ 46,473.00           |
| School Transportation Fee Offset    | \$ -                   | \$ -                   | \$ -                   | \$ -                   |
| <b>total:</b>                       | <b>\$ 2,240,771.24</b> | <b>\$ 2,669,543.27</b> | <b>\$ 3,035,224.92</b> | <b>\$ 2,422,081.59</b> |
| Dollar Increase Over Prior Year     | \$ 450,181             | \$ 428,772             | \$ 365,682             | \$ (613,143)           |
| Percentage Increase Over Prior Year | 25.14%                 | 19.14%                 | 13.70%                 | -20.20%                |

The FY2021 proposed budget recommends using \$889,133 of certified Free Cash, transfers \$73,933 from the Sewer Enterprise for indirect costs paid for in the General Fund, transfers \$804,329 from the Sewer Betterment account to fund the Sewer's debt for FY21, transfers \$17,364 from the PEG account for indirect costs paid for in the General Fund, transfers \$55,837 from the Water Betterment account to fund the Water's debt for FY21, and transfers \$46,473 from the Artificial Turf Revolving Fund to pay for the turf field debt for FY21.

### **FY2021 Expenditure Budget Overview**

The Town's expenditures are divided into functional categories which become the legal budget appropriated at Town Meeting. These categories include: General Government; Central Purchasing; Police; Fire; Other Protection; Department of Public Works; Solid Waste/Recycling; Health & Sanitation; Council on Aging; Veterans; Lunenburg Public Schools; Monty Tech Assessment; Library; Debt Service; Unclassified General Government; Retirement Assessment. Other expenditures in the budget include non-appropriated costs, such as Cherry Sheet Charges, Cherry Sheet Offsets, Snow & Ice Deficit, and funds for the Overlay Account. The final budgeting category is the remaining Town Meeting warrant articles that have a financial impact.

The preliminary FY2021 budget for Operating Expenses is projected to increase by \$1,164,402 or 2.9% over FY2020. The largest increases being in Lunenburg Public Schools (\$519,897 or 44.65% of the increase), Worcester County Retirement Assessment (\$147,791 or 12.69% of the increase), Unclassified General Government (\$131,888 or 11.33% of the increase), and Police (\$108,335 or

9.3%). While other categories are increasing, certain categories such as the Debt Service and Central Purchasing are decreasing by \$91,181 and \$4,023, respectively.

|                                   | FY2019               | FY2020               | FY21                    | FY21                    | FY21                    |
|-----------------------------------|----------------------|----------------------|-------------------------|-------------------------|-------------------------|
|                                   | After Recap          | After Recap          | Target Budget           | Requested Budget        | TM Prelim. Budget       |
| <b>Expenditures:</b>              |                      |                      |                         |                         |                         |
| <b>General Fund Expenditures:</b> |                      |                      |                         |                         |                         |
| General Government                | \$ 1,426,619         | \$ 1,529,022         | \$ 1,560,985            | \$ 1,600,981            | \$ 1,617,795            |
| Central Purchasing                | \$ 55,303            | \$ 60,303            | \$ 60,303               | \$ 56,280               | \$ 56,280               |
| Police                            | \$ 1,747,289         | \$ 1,838,834         | \$ 1,961,590            | \$ 1,961,590            | \$ 1,947,170            |
| Fire                              | \$ 1,022,490         | \$ 1,139,584         | \$ 1,219,953            | \$ 1,241,617            | \$ 1,226,439            |
| Radio Watch                       | \$ 276,467           | \$ 290,031           | \$ 317,528              | \$ 317,528              | \$ 317,528              |
| Other Protection                  | \$ 191,083           | \$ 192,058           | \$ 201,557              | \$ 201,557              | \$ 201,557              |
| Department of Public Works        | \$ 1,668,378         | \$ 1,812,749         | \$ 1,886,382            | \$ 1,908,599            | \$ 1,884,188            |
| Public Buildings & Facilities     | \$ 670,851           | \$ 708,039           | \$ 708,579              | \$ 708,579              | \$ 720,579              |
| Solid Waste                       | \$ 156,360           | \$ 218,450           | \$ 218,634              | \$ 218,634              | \$ 218,634              |
| Health & Sanitation               | \$ 73,839            | \$ 77,317            | \$ 77,072               | \$ 86,687               | \$ 86,687               |
| Council on Aging                  | \$ 139,718           | \$ 148,168           | \$ 154,813              | \$ 159,813              | \$ 159,813              |
| Veterans                          | \$ 105,775           | \$ 105,775           | \$ 105,775              | \$ 105,775              | \$ 105,775              |
| Lunenburg Public Schools          | \$ 20,207,796        | \$ 20,813,549        | \$ 21,333,446           | \$ 21,645,674           | \$ 21,333,446           |
| Monty Tech Assessment             | \$ 824,011           | \$ 777,473           | \$ 796,910              | \$ 796,910              | \$ 796,910              |
| Library                           | \$ 407,654           | \$ 418,740           | \$ 415,947              | \$ 453,247              | \$ 433,197              |
| Debt Service                      | \$ 4,758,053         | \$ 4,681,672         | \$ 4,590,491            | \$ 4,590,491            | \$ 4,590,491            |
| Unclassified                      | \$ 3,136,216         | \$ 3,207,027         | \$ 3,379,369            | \$ 3,379,369            | \$ 3,338,915            |
| Retirement Assessment             | \$ 1,221,814         | \$ 1,354,353         | \$ 1,489,788            | \$ 1,502,144            | \$ 1,502,144            |
| <b>sub-total:</b>                 | <b>\$ 38,089,715</b> | <b>\$ 39,373,145</b> | <b>\$ 40,479,120.86</b> | <b>\$ 40,935,473.50</b> | <b>\$ 40,537,547.30</b> |

|                                   | FY21                    | FY21 Prelim. Budget  | FY21 Prelim. Budget |
|-----------------------------------|-------------------------|----------------------|---------------------|
|                                   | TM Prelim. Budget       | Dollar Inc. over PFY | % of total increase |
| <b>Expenditures:</b>              |                         |                      |                     |
| <b>General Fund Expenditures:</b> |                         |                      |                     |
| General Government                | \$ 1,617,795            | \$ 88,773            | 7.62%               |
| Central Purchasing                | \$ 56,280               | \$ (4,023)           | -0.35%              |
| Police                            | \$ 1,947,170            | \$ 108,335           | 9.30%               |
| Fire                              | \$ 1,226,439            | \$ 86,855            | 7.46%               |
| Radio Watch                       | \$ 317,528              | \$ 27,497            | 2.36%               |
| Other Protection                  | \$ 201,557              | \$ 9,499             | 0.82%               |
| Department of Public Works        | \$ 1,884,188            | \$ 71,438            | 6.14%               |
| Public Buildings & Facilities     | \$ 720,579              | \$ 12,540            | 1.08%               |
| Solid Waste                       | \$ 218,634              | \$ 184               | 0.02%               |
| Health & Sanitation               | \$ 86,687               | \$ 9,371             | 0.80%               |
| Council on Aging                  | \$ 159,813              | \$ 11,644            | 1.00%               |
| Veterans                          | \$ 105,775              | \$ -                 | 0.00%               |
| Lunenburg Public Schools          | \$ 21,333,446           | \$ 519,897           | 44.65%              |
| Monty Tech Assessment             | \$ 796,910              | \$ 19,437            | 1.67%               |
| Library                           | \$ 433,197              | \$ 14,457            | 1.24%               |
| Debt Service                      | \$ 4,590,491            | \$ (91,181)          | -7.83%              |
| Unclassified                      | \$ 3,338,915            | \$ 131,888           | 11.33%              |
| Retirement Assessment             | \$ 1,502,144            | \$ 147,791           | 12.69%              |
| <b>sub-total:</b>                 | <b>\$ 40,537,547.30</b> | <b>\$ 1,164,402</b>  |                     |

The FY2021 Preliminary Budget includes all contractual increases including agreed upon COLA increases for non-union employees under the Salary Administration Plan, all salary and related expenses per Collective Bargaining Units, and increases for employees with an Employment Agreement. The Town has begun contract negotiations with the Fire and Clerical Unions and if not settled by the May 2, 2020 Annual Town Meeting will request a transfer of funds at a future town meeting from the Salary Reserve Account.

Outside of allocating funding for the long term staffing plans for the Police and Fire Departments and \$50,000 for pavement management, this year's budget proposal addresses needs expressed an increase in staffing hours for the Town Clerk and Board of Health offices. The hours for both of these positions were cut some years back and each department has expressed that the current hours are insufficient to address the workload. Other priorities in this proposed budget address the hourly rate of the registration and election workers, the need for new voting booths, additional IT software costs, and reallocating funds from the elimination of the Assistant Mechanic position to address ADA public rights-of-way compliance and maintenance of town facilities.

Below are highlights of the preliminary budget recommendations made by the Town Manager:

### **General Government**

The General Government category includes the Administrative, Financial, and Planning Offices of the town. Total spending in this category is recommended at \$1,617,795, which is an increase of 5.81% or \$88,773. The proposal includes all contractual increases, audit costs, legal expenses, an increase in hours for the Assistant Town Clerk from 24 to 32 hours a week, an increase in salary costs for election workers, an increase in software maintenance costs, voting booths for the Town Clerk's office, and expenditures to provide general government services. The Town Clerk expressed during the budget process that the requests in the Town Clerk's budget are a reflection of ensuring that office can function in the event of the current Town Clerk's eventual retirement.

### **Central Purchasing**

Based on historical spending, the preliminary budget proposes to cut the Central Purchasing account by \$4,023. This account includes telephone charges for town facilities and office equipment maintenance.

### **Board of Health**

The preliminary budget includes funding for an additional 6 hours for the Administrative Assistant. The hours for this position were cut around FY12 from 30 to 26 hours a week. The Board of Health requested additional hours for the Administrative Assistant during the development of the FY20 budget, which was not included in the recommended budget, and again this fiscal year in order to adequately address the workload of that position.

## **Police Department**

The Lunenburg Police Department employs 17 full time Police Officers, 9 Reserve Intermittent Police Officers, a Public Safety Coordinator (also counted as a Reserve Officer), and a Desk Officer (also counted as a Reserve Officer). The Police Department is in operation 24 hours a day, 7 days a week. For many years the Chief had requested additional staffing based upon the department's level of activity. During the FY19 budget development process, the Police Chief proposed a 10 year plan of adding one additional full time officer each fiscal year to reach adequate staffing levels and making these changes incrementally. The last two fiscal years, an additional police officer was added each year. Adding one additional officer last year does not resolve the Police Department's need for additional officers. Based on state and national data on the number of officers per capita in communities of similar size, Lunenburg falls below the state average. There has been significant growth in housing units over the years and the Police Department's response to calls for service correlates to the growth in the community. The increase in the FY21 Police Department budget reflects one additional Police Officer and related expenses. The preliminary budget includes the associated costs for an additional FT police officer but also reduces the Shift Differential line and Payroll for Lock-Up by a total of \$22,000. The total increase over the previous fiscal year is \$108,335, which is a 6.6% increase.

## **Fire Department**

The Fire Department is comprised of a full time Fire Chief, 6 full time Firefighter/EMTs, an EMS Coordinator, and on call reserve firefighters and on call EMT's. The Fire Department faces similar challenges as the Police Department in an increase in service calls due to the growing population, as well as the need for growing the Department to be able to run at the paramedic level in order to provide a higher level of medical care alongside a growing percentage of residents in their senior years. The Fire Chief proposed a five year plan to add one firefighter/paramedic each fiscal year to reach adequate staffing to operate a 24/7 Paramedic Level Service. This plan was accelerated at the May 2018 Annual Town Meeting through a citizen's petition to hire two firefighter/EMT's instead of one firefighter/Paramedic in FY19 and in FY20 a seventh full time firefighter was not included in the budget due to a need to address a significant rise in overtime costs. The preliminary budget for the Fire Department includes the costs in the projected five year plan to add a seventh full time Firefighter/Paramedic. The Fire Department currently has 24/7 coverage at the Advanced Level, with Sundays covered by two per diem firefighter/EMT's and one per diem and two full time firefighter/EMT's covering Monday thru Saturday shifts. The total increase over the previous fiscal year is \$86,855, which is a 7.6% increase.

## **Public Works and Town Buildings & Facilities**

The Department of Public Works preliminary budget is slightly less than the target budget they were asked to meet and the Town Buildings and Facilities preliminary budget is slightly higher than the target budget. This was achieved by the elimination of the Assistant Mechanic position and reallocating those funds to both the Facilities budget and a new account under Highway to address Americans Disabilities Act (ADA) compliance in the public right-of-way.

The reallocation of \$20,000 to the Facilities budget will continue the effort to address building repair/improvement projects as well as cover building maintenance projects at the Library instead of being paid for by the Friends of the Library. The additional funds allocated to the Facilities budget was accomplished in part by a reduction in the electricity expense account based on historical spending and the effect of net metering credits and part of the reallocation of monies from the elimination of the DPW Assistant Mechanic position.

The remaining portion of the reallocation of funds from the elimination of the Assistant Mechanic position was used to create a new line item for ADA public rights-of-way compliance in the amount of \$27,000. This amount is identified in the ADA PROW Transition Plan to address of needed improvements to our existing sidewalk network.

The Cemetery Commission requested additional funds for maintenance projects at the cemeteries and to cover fuel expenses that have historically been covered under the Sale of Cemetery Lots. Although the preliminary budget does not fully meet the requested amounts, new line items are proposed under the Cemetery portion of the budget to address maintenance projects at the Cemeteries and fuel expenses.

In addition, the proposed budget addresses the long term maintenance costs to sustain the benefits of the Pavement Management Plan by continuing to add \$50,000 to the Pavement Management line that will ultimately reach a sustainable level upon the completion of the Pavement Management Plan Debt Exclusion. This increase is supported by the additional growth in the Motor Vehicle Excise Account in Local Receipts.

The FY21 preliminary budget also level funds the Stormwater line item at \$100,000. The funding needed for Stormwater in fiscal year 2021 are the associated costs to meet the requirements of the Municipal Separate Storm Sewer Systems Permit (MS4). This is an unfunded mandate that will continue in the years to come.

The total increase over the previous fiscal year for the DPW is \$71,438, or a 3.9% increase, and the total increase over the previous fiscal year for the Town Buildings & Facilities budget is \$12,540, or a 1.7% increase.

### **Solid Waste/Recycling Program**

In Fiscal Year 2020 there was a substantial increase in the Solid Waste/Recycling costs due to the global market changes in recycling stemming from China's National Sword Policy. The Town began paying for its recyclables on July 1, 2019, adding approximately \$62,000 to the cost of that program and an increase in Pay-As-You-Throw (PAYT) bags. This program is self-sustaining and any surplus in revenues from the PAYT bags goes towards funding the next fiscal year. We are projecting no cost increase for this program in FY 2021.

### **Lunenburg Public Schools**

The Town Manager's recommended preliminary FY2021 budget for Lunenburg Public Schools is \$21,333,446. This total includes 40S Smart Growth funding in the amount of \$17,686. This

funding is used towards Curriculum Update expenses, which is in addition to the Curriculum Adoption within the School Operating budget. The preliminary FY21 target budget for LPS is a 2.5% increase over the previous fiscal year or \$519,897. The Superintendent presented a proposed budget to the School Committee that would address their needs that initially was an approximately 4% increase over the previous fiscal year and now due to a reduction in the maximum rate increase for health insurance is a 3.64% increase or \$756,536 more than the previous fiscal year. It is expected that this will be revisited after the Town receives the final health insurance renewals at the end of February and the assessment from Montachusett Regional Vocational School at the beginning of March.

## **Library**

The preliminary budget addresses the top priorities of the requested budget increases, including meeting the energy needs of the building, funding to hire a consultant to perform a long term strategic plan, and meeting the 16% spending requirement on library materials. The requested budget from the Library was \$37,300 more than the target budget and the preliminary budget is \$17,250 more than the target budget or a 3.45% increase over the previous fiscal year.

## **Unclassified General Government**

The Unclassified category of the operational budget includes Health Insurance, Workers Compensation Insurance, Liability Insurance, Police/Fire Injured on Duty Insurance, and Reserves.

The Town purchases Health Insurance for all active and retired employees through the Massachusetts Inter-local Insurance Association (MIIA). By purchasing insurance through this cooperative, we are able to receive the benefit of being a part of the largest municipal joint purchasing group. As a result of our membership in MIIA and due to the fact that we have favorable claims history, our rates have also been favorable. MIIA provided an estimate of a 6.5% increase for Health Insurance renewal rates for FY21 in December and released their maximum rate range increases to members in January of a low of -1.5%, an average of 3.7%, and a maximum of 8%. Based on the town's loss ratios, our insurance representative confirmed we could adjust our maximum health insurance for active employees to 3.7% and 5% for retirees. We will receive our actual renewal rates by the end of February and hope to see that figure decrease again.

Another noteworthy point is that 38% of the Health Insurance budget is health insurance for active town employees and 62% is retiree health insurance for both town and school employees. The active health insurance portion of the FY21 budget is approximately \$966,000 out of the \$2,489,643. The estimate for FY21 School retirees health insurance is approximately \$1,088,000 and \$413,000 for Town retiree health insurance.

The estimates for Workers Compensation, Liability, and Police/Fire IOD insurances have not been received but the budget level funds these budgets based on current year's expenditures and the reward and participation credits the town receives for performing best practices in risk management and credits for attending trainings and webinars.



The total recommended budget for Unclassified General Government is \$3,338,915 or a \$131,888 (4.1%) increase over the previous fiscal year.

## Capital

The Capital Planning Committee received twenty eight (28) capital project requests totaling \$4,239,438 and recommended funding twenty one (21) capital project requests totaling \$1,329,133. The Capital Plan is recommended to be funded through Free Cash, and tax revenues. There is no additional borrowing required to fund the FY21 Capital Plan. The chart below identifies all the items included in the FY21 Capital Plan and their funding sources.

| Priority #                   | CIP#       | Dept.   | Project Name                                | Category       | FY2021<br>Projected |
|------------------------------|------------|---------|---------------------------------------------|----------------|---------------------|
| 1                            | FM20-01    | DPW     | Town Hall, ADA Ramp/Sidewalk                | Facilities     | \$22,000            |
| 2                            | INFRA20-01 | Highway | Flat Hill Culvert Design                    | Infrastructure | \$112,500           |
| 3                            | LPS16-19-C | Schools | THES Asbestos Abatement/Ceiling Replacement | Facilities     | \$123,500           |
| 4                            | PD19-01    | Police  | Police Vehicle, 1 Marked New                | Vehicle        | \$67,000            |
| 5                            | FD17-05-B  | Fire    | SCBA Complement, Replacement (1/2)          | Equipment      | \$115,000           |
| 6                            | PD16-14    | Police  | Police Vehicle, 1 Marked Replacement        | Vehicle        | \$67,000            |
| 7                            | FD16-20-A  | Fire    | ALS Equipment Phase 1                       | Equipment      | \$54,800            |
| 8                            | PD20-01    | Police  | ACO Vehicle                                 | Vehicle        | \$26,000            |
| 9                            | FD20-01    | Fire    | Midlife Overhaul of Squad 3                 | Vehicle        | \$65,000            |
| 10                           | PD16-18    | Police  | Portable Radios                             | Equipment      | \$45,000            |
| 11                           | LPS19-03-A | Schools | Design AC for Classrooms at Primary         | Planning       | \$10,000            |
| 12                           | DPW16-10   | Highway | Trackless & Attachments                     | Vehicle        | \$170,000           |
| 13                           | FM17-16A   | DPW     | Senior Center, Reconfigure Front Entrance   | Facilities     | \$24,000            |
| 14                           | DPW17-11   | Highway | One Ton Dump with Plow                      | Vehicle        | \$58,833            |
| 15                           | FM16-02    | DPW     | PSB, Carport Reconfiguration                | Facilities     | \$135,000           |
| 16                           | FM20-06    | DPW     | Senior Center, Kitchen Remodel              | Facilities     | \$22,000            |
| 17                           | LPS19-02   | Schools | Admin Air Conditioning, THES                | Facilities     | \$28,000            |
| 18                           | FM16-11    | DPW     | Library, Carpet                             | Facilities     | \$126,000           |
| 19                           | FM20-07    | DPW     | Ritter, Kitchen Remodel                     | Facilities     | \$12,000            |
| 20                           | FM20-02    | DPW     | Ritter, ADA Ramp Design                     | Facilities     | \$25,500            |
| 21                           | FM20-10    | DPW     | Cemetery Parking Lot                        | Facilities     | \$20,000            |
| Total Capital Plan           |            |         |                                             |                | \$1,329,133         |
| Funding:                     |            |         |                                             |                |                     |
| Raise & appropriate          |            |         |                                             |                | \$650,000           |
| Free cash                    |            |         |                                             |                | \$679,133           |
| Unexpended Capital           |            |         |                                             |                |                     |
| Premium Reserved for Capital |            |         |                                             |                |                     |
| Total                        |            |         |                                             |                | \$1,329,133         |

## Use of Free Cash on Capital and Reserves

The FY2021 budget uses \$889,133 of the \$1,107,694 certified Free Cash available for appropriation for the following

- Designates \$110,000 towards OPEB liability costs (<10% of the previous year's certified free cash);
- Funds \$679,133 towards the FY21 Capital Plan;
- \$100,000 deposited into the regular Stabilization Account per the Town's Financial Policy;



This leaves an undesignated balance of \$218,561 that at this point of the budget process is being recommended to either roll to next fiscal year's Free Cash balance to help fund next year's Capital, reserve for consideration of funding money articles at the Annual Town Meeting, or fund the Snow & Ice deficit from FY2020. The use of Free Cash on one time expenditures (Capital) and deposits into the town's reserves promotes a fiscal sustainability and plans for the town's future.

## Retirement Assessment

The Worcester Regional Retirement System annually provides each member Town an assessment based upon anticipated retirement benefits to be paid out. The Town's FY2021 assessment has been certified at \$1,502,144, which includes an early payment discount of approximately \$28,028. This is an overall increase of \$147,791 or a 10.9% increase from last fiscal year.

## Non-Appropriated Expenditures

Cherry Sheet Charges, Cherry Sheet Offsets, funds for the Overlay account, and Tax Title make up the non-appropriated expenditures that are raised on the tax recapitulation sheet that is submitted to the Department of Revenue to set the tax rate. The Cherry Sheet Charges and Cherry Sheet Offsets are based on the Governor's House 1 Budget Proposal and indicate a decrease in the State/County Charges and Choice/Charter Tuition Assessments but an increase in Cherry Sheet Offsets. We will watch these closely in the House and Senate budget proposals to see if they fluctuate. For the preliminary budget proposal, the Tax Title Account is recommended to be level funded at \$24,000 to address additional tax title properties and the funds required to go through the tax title process, however, the amount the Tax Collector requested be appropriated for tax title is \$26,400. As the unknown costs become known, the goal would be to revisit this estimate.

|                      | FY2019       | FY2020       | FY2021        | FY2021 TM      | Dollar Increase |
|----------------------|--------------|--------------|---------------|----------------|-----------------|
|                      | After Recap  | After Recap  | Target Budget | Prelim. Budget | Over PFY        |
| Court Judgments      |              |              |               |                |                 |
| Cherry Sheet Charges | \$ 1,044,696 | \$ 1,082,507 | \$ 1,082,507  | \$ 1,063,108   | \$ (19,399)     |
| Cherry Sheet Offsets | \$ 257,181   | \$ 199,182   | \$ 199,182    | \$ 233,242     | \$ 34,060       |
| Overlay              | \$ 175,016   | \$ 175,000   | \$ 175,000    | \$ 175,000     | \$ -            |
| Tax Title            | \$ 10,500    | \$ 24,000    | \$ 24,000     | \$ 24,000      | \$ -            |
| sub-total:           | \$ 1,487,393 | \$ 1,480,689 | \$ 1,480,689  | \$ 1,495,350   |                 |

## Conclusion

The preliminary budget presented provides for a balanced budget that funds certain increases to address the town's need for increased public safety services, the necessity for certain staff increases, funds contractual increases, and adheres to the Town's financial policies. The target budget of a 2.5% increase for the Lunenburg Public Schools will be revisited once the Town receives their health insurance renewal rates at the end of February and the assessment from Montachusett Regional Vocational School in early March. Given the information known at this point in time in regards to revenue projections and known expenses, the Town Manager's proposed FY21 budget aims to address the needs of the community while balancing the effect on taxpayers. As we move forward in the budget process, we will receive certain information such as Health

Insurance renewal rates, General Insurance renewal rates, the Monty Tech Assessment amount, and a better picture of the final State Aid figure and the budget will be adjusted accordingly.

In closing, I would like to sincerely thank all the town department heads for their thoughtful assessment of the needs of their department and their efforts to look for efficiencies whenever feasible. Also I want to extend my appreciation to Superintendent Dr. Kate Burnham and School Business Manager Michael Cassidy and the Town Finance Director Karen Brochu for her expertise and analysis in developing this budget.